

# Palantir Technologies Inc.

PLTR NYSE

|      |                  |                              |                                      |                         |
|------|------------------|------------------------------|--------------------------------------|-------------------------|
| Hold | \$175.32 ▲ 0.56% | 12M Price Target<br>\$190.00 | 52-Week Range<br>\$106.37 – \$207.52 | Market Cap<br>\$421.23B |
|------|------------------|------------------------------|--------------------------------------|-------------------------|

## PLTR: Commercial Wins Piling Up, But Valuation Is Nosebleed

### WHAT HAPPENED

- Stock is grinding higher again (+0.56%) on a wave of commercial customer wins — Chipotle just signed on for AI food safety, SRFM went live with a Palantir-powered platform, and Nebius became their "preferred sovereign AI cloud partner." Translation: PLTR is proving the commercial story isn't just hype, they're landing real Fortune 500 logos across wildly different industries (fast food to aviation). That's the bull case in motion.
- The Michael Burry story (the "Big Short" guy who bet against PLTR before closing his fund) is getting recycled — but the market is ignoring it because the thesis clearly hasn't played out. Stock is near 52-week highs.

### WHY IT MATTERS

Here's what to actually think about: PLTR is transitioning from "government contractor with a cool platform" to "the default AI operating system for large enterprises" — and the Chipotle deal is the tell. When a burrito chain uses your ontology software to fix food safety, you've officially crossed into the mainstream. That justifies some premium, but at \$421B market cap and ~85x forward sales (investors paying \$85 for every \$1 of next year's revenue), the stock is priced for near-perfection. The insider cluster selling is worth noting — when directors and officers are only selling and never buying at these levels, they're essentially telling you the easy money has been made.

### POLICY & POLITICAL WATCH

The tailwind here is huge and underappreciated: the Trump administration's AI executive orders have essentially made Palantir the preferred vendor for federal AI modernization — ICE, DoD, HHS, and IRS contracts have all expanded in 2026. Watch the FY2027 defense appropriations bill working through Congress now — it includes ~\$2B specifically earmarked for "AI-enabled command and control systems," which is Palantir's Maven/TITAN wheelhouse. The risk on the other side: bipartisan noise about data privacy and government surveillance is growing, and if Democrats retake the House in November, expect hearings on Palantir's ICE and immigration enforcement work — that's headline risk, not fundamental risk, but it moves the stock.

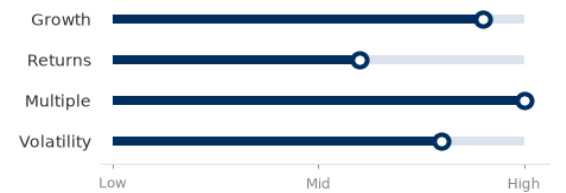
### IS IT EXPENSIVE?

Let's be honest: this stock is expensive by every traditional measure. At ~85x next year's revenue and roughly 280x forward earnings (investors paying \$280 for every \$1 of profit the company will make next year), PLTR trades at a multiple that even NVIDIA at its peak didn't reach. The only way this math works is if revenue growth stays above 40% for the next 3-4 years AND margins keep expanding — possible, but there's zero room for a stumble at this price.

### Key Data

|                     |           |
|---------------------|-----------|
| Price (USD)         | \$175.32  |
| 12M Price Target    | \$190.00  |
| Upside / (Downside) | +8.4%     |
| Market Cap          | \$421.23B |
| FY2026E Revenue     | \$4,850M  |
| FY2027E Revenue     | \$6,400M  |
| FY2026E EPS         | \$0.62    |
| FY2027E EPS         | \$0.85    |
| Fwd P/E             | 283.0x    |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$195.00  | \$178.00  | \$158.00  |
| 6 Months  | \$230.00  | \$190.00  | \$145.00  |
| 1 Year    | \$265.00  | \$195.00  | \$130.00  |
| 2 Years   | \$340.00  | \$230.00  | \$110.00  |
| 5 Years   | \$500.00  | \$300.00  | \$90.00   |
| 10 Years  | \$800.00  | \$400.00  | \$75.00   |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Tech (+2.31% today) is ripping again on renewed AI enthusiasm and expectations of Fed rate cuts. Defense/AI hybrid names are getting a bid on the FY27 appropriations optimism.

**COOLING OFF:** Utilities and Real Estate are lagging on a 5-day basis (-2% and flat) — classic risk-on rotation where defensive dividend plays get abandoned for growth.

**ROTATION WATCH:** Money is flowing from defensives into AI infrastructure and enterprise software. This is a direct tailwind for PLTR — they sit at the intersection of the two hottest themes (AI + government spending).

**RELATED PLAY:** If you believe the PLTR story, look at the picks-and-shovels layer — Nebius (NBIS), which just became PLTR's sovereign cloud partner, and data center REITs like DLR benefit from the same AI capex wave without the crazy multiple.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI kingpin — every enterprise AI deployment (including PLTR's) runs on their chips. Benefits from every AI headline.
- ANET (Arista Networks): AI data center networking play, quietly outperforming as hyperscaler capex accelerates.

**PLTR CONTEXT:** PLTR is leading its peer group and then some — up ~65% from 52-week lows and trading at 68% of its 52-week range. That's momentum, but it also means the stock has already priced in a lot of good news. New money coming in here is chasing, not investing.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

**CONVICTION:** 6/10 — I love the business and the political tailwinds, but I can't pound the table at 85x sales. This is a "great company, tricky stock" situation.

**POSITION SIZE:** Keep it small — 2-3% max. The story is real but the volatility can shake you out. If you already own it and are up big, consider trimming to lock in gains.

**ENTRY POINTS:** I'd wait for a pullback to \$150-160 (roughly the 50-day moving average) — the stock has repeatedly bounced off those levels, and it gives you a better risk/reward than chasing at \$175+.

**TIME HORIZON:** 12-24 months. The main catalyst to watch is Q3 earnings in early November — specifically commercial revenue growth rate and US commercial customer count.

**WHEN TO BAIL:** If commercial revenue growth drops below 40% year-over-year, or if a major government contract (like Maven) gets renegotiated down, get out. Also watch for accelerating insider selling.

**HEDGING:** Simplest hedge — buy put options 15% below the current price expiring in 3-6 months. Think of it as insurance: you pay a small premium, and if the stock craters, your puts pay off to offset losses. Alternatively, pair the long with a short in another richly-valued AI name.